

Ultra Sound Money

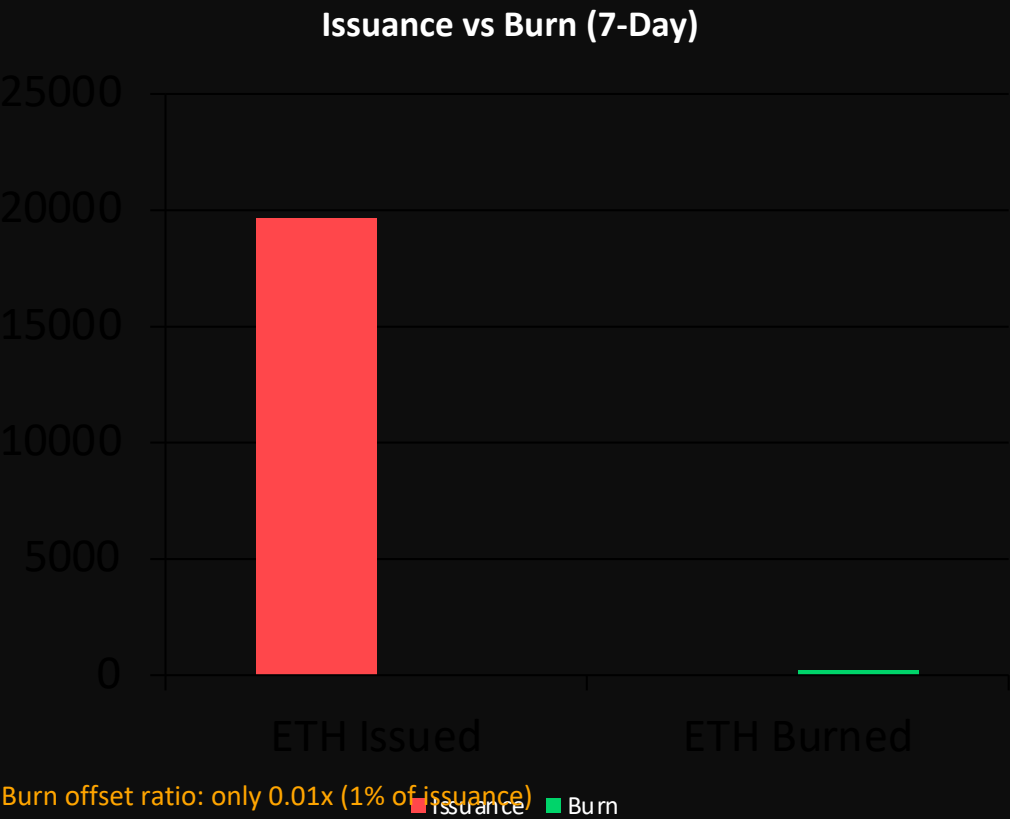
Ethereum's Post-Merge Supply Dynamics and Monetary Premium

A data-driven analysis for crypto-native investors and ecosystem participants

Current Supply	ETH Price	7-day Net Change	Annualized Growth
121.6M	\$2,243	+19,445	+0.83%

ETH Supply Dynamics: 7-Day Snapshot

Net change: +19,445.89 ETH | Current Supply: 121,603,980 ETH



Note: Low gas prices (avg 0.1 Gwei) suppress burn mechanism, resulting in temporary supply inflation

Issuance (7-day)	+19,638.29 ETH
Fee Burn (7-day)	192.39 ETH
Net Change	+19,445.89 ETH
Offset Ratio	0.01x

EIP-1559 burn mechanism requires sustained high gas to destroy more than issuance

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Blob Gas (EIP-4844)

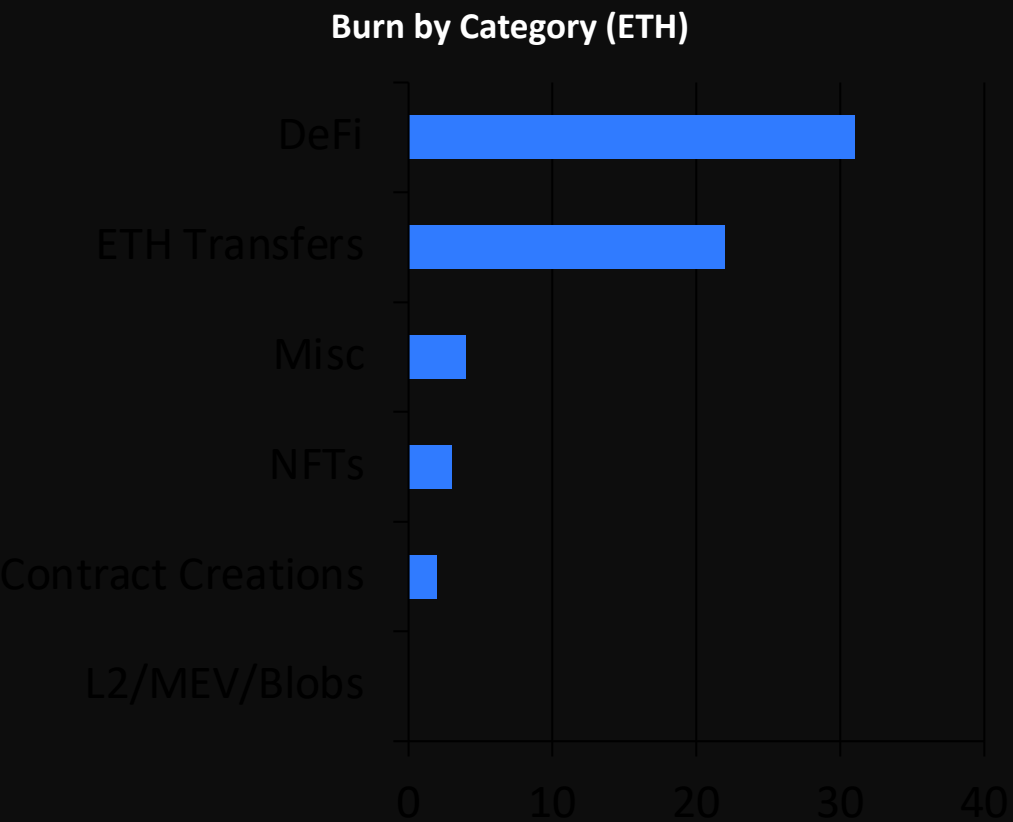
- Long-term equilibrium assumes 22 Gwei avg gas
- Current 0.1 Gwei is 55x below equilibrium
- Low gas = minimal burn = supply inflation

- 22 Gwei base gas needed for deflation
- ~1,037K ETH/year burn at equilibrium
- Supply converges to 125.7M ETH

The burn mechanism works but requires sustained on-chain activity.

DeFi and ETH Transfers Account for 85% of Weekly Fee Burn

7-day burn breakdown by category | Total: ~192 ETH



Top Burn Leaderboard (7-Day)

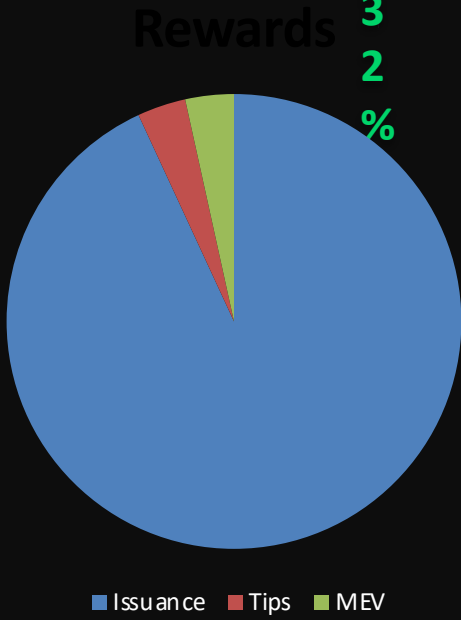
21.74 ETH	ETH Transfers
13.55 ETH	Tether USDT
31 ETH	DeFi (aggregated)
3 ETH	NFTs
2 ETH	Contract Creations

Record 7-day burn: 0.07 ETH in single block (blocks 24,850,874-24,850,879 showed 0.00-0.01 ETH per block)

38.9M ETH Staked

38.9M ETH Staked at 2.7% Issuance Rewards

Validator rewards breakdown | Scarcity engine locks 9.1M ETH for avg 10.7 years



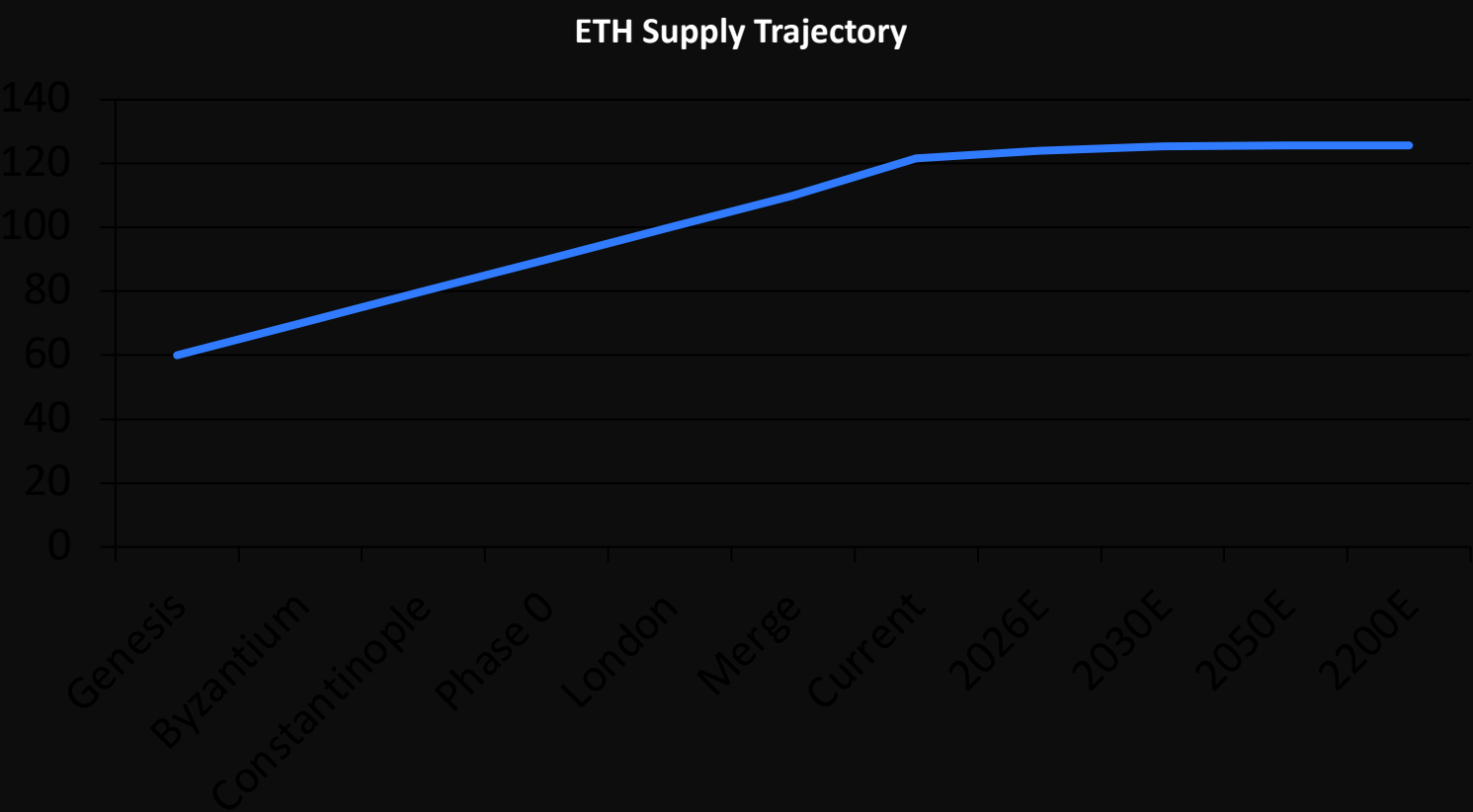
Reward Composition (APR)

Issuance
0.9 ETH/validator 2.7%
Tips
~0.0 ETH 0.1%
MEV Estimate
~0.0 ETH 0.1%
Total
2.9%

Daily Flow
PoS Issuance: ~2,800 ETH/day | Fee Burn (normalized): ~2,200 ETH/day

Long-Term Equilibrium: 125.7M ETH

200-year supply projection converging to equilibrium with 39M ETH staked at 22 Gwei avg gas



Era transitions: 5→3→2 ETH/block | London introduced burn | Merge removed PoW issuance

Key Parameters

Equilibrium Supply:

125.7M ETH

Staked ETH (assumption):

39M ETH

Avg Base Gas (assumption):

22 Gwei

Year Issuance-Burn Balance:

~1,037K ETH/yr

Issuance Rate (stakers):

2.7%/year

Burn Rate (non-stakers):

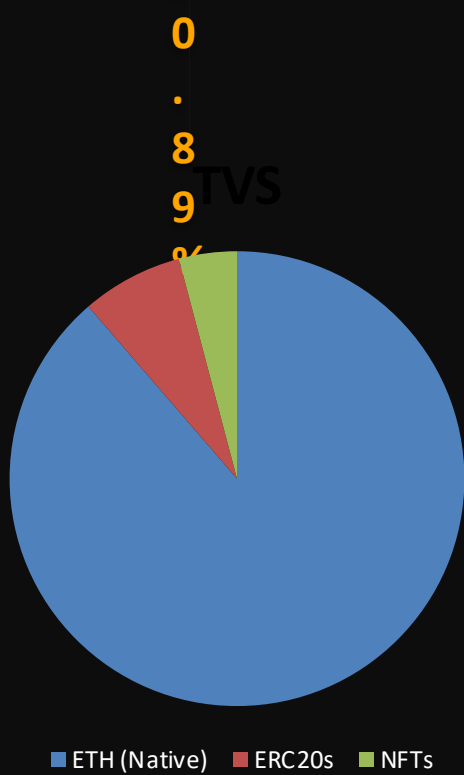
1.2%/year

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ETH at 18.7% of Bitcoin's Market Cap

Total Value Secured breakdown across ETH, ERC20s, and NFTs

18.70%



Total Value Secured: \$307.6B

Top ERC20s

Dai: \$4.41B

SHIB: \$3.51B

Cronos: \$2.97B

Tether Gold: \$2.65B

Top NFTs

CryptoPunks: \$2.13B

BAYC: \$0.68B

ENS: \$0.63B

Pudgy Penguins: \$0.51B

Community tracking: 6,000+ members monitoring these metrics

Key Takeaways: Ultra Sound Money Thesis

5 critical findings for ETH investors and ecosystem participants

1

Mild Inflationary Present

ETH is currently +0.83%/year inflationary due to historically low gas (avg 0.1 Gwei). Burns offset only ~1% of issuance.

2

Burn Mechanism Validated

EIP-1559 works but requires sustained on-chain activity. At equilibrium (22 Gwei), supply becomes deflationary.

3

Staking Creates Supply Lock

38.5M ETH (32% of supply) staked, with 9.1M locked for avg 10.7 years. ~2.7% APR from issuance, minimal from tips/MEV.

4

Structural Equilibrium Sound

Long term trajectory converges to 125.7M ETH equilibrium at ~1,037K ETH/year burn-issuance balance.

5

Investor Implication: The ultra sound money thesis is structurally intact but gas activity is the critical variable. Monitor on-chain usage for thesis confirmation.